

July 23, 2026 04:13 AM GMT

Tesla Inc | North America

The Road to ROI: Patience Required

WHAT'S CHANGED

Tesla Inc (TSLA.O)	From	To
Price Target	\$417.00	\$400.00

We view Tesla's accelerating capex cycle as a necessary investment to secure leadership in autonomy & robotics. However, these investments push FCF further into negative territory, increasing focus on tangible Robotaxi & Optimus milestones. We lower our PT to \$400 reflecting elevated cash burn.

Key Takeaways

- TSLA remains positioned to lead in Physical AI, but the ROI on a heavy capex cycle requires patience and consistent execution.
- FSD adoption was an upside surprise, with North America attach rates reaching 55% in the quarter, far surpassing our 25-30% estimate.
- Robotaxi commentary was upbeat; we need density + larger sample of safety data within existing cities, not just geographic expansion.
- Cybercab production is scaling, but software recalibration limits near-term fleet entry.
- Optimus SOP is expected soon. Supply chain complexities elongate the initial ramp.

Nothing this quarter changes our thesis in a meaningful way. The capex step-up is a known trend, now confirmed and extended for the next 2-3 years, prolonging cash burn through the end of the decade on our estimates. We view this as a necessary investment to establish and defend a leadership position in autonomy and robotics. The open question remains the timing of when we actually see the ROI – specifically, a scaled robotaxi network that demonstrates increasing density and improving safety within existing cities, plus tangible progress commercializing Optimus. Absent consistent, transparent proof points, we'd expect the market's tolerance for incremental capex to narrow. We are lowering our price target to \$400 (from \$417) reflecting increasing capex and worsening cash burn through the end of the decade. Our long-term estimates are broadly unchanged.

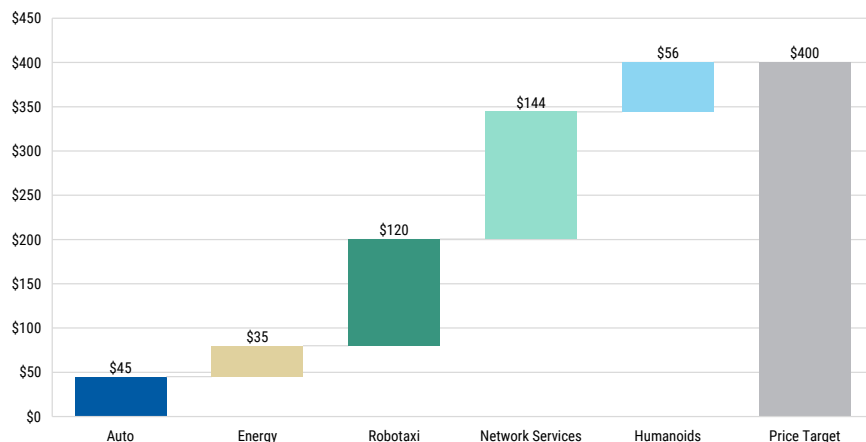
MORGAN STANLEY & CO. LLC		
Andrew S Percoco	Equity Analyst	
Andrew.Percoco@morganstanley.com		+1 212 296-4322
Daniela M Haigian	Equity Analyst	
Daniela.Haigian@morganstanley.com		+1 212 761-6071
Jahvonte G Bain	Research Associate	
Jahvonte.Bain@morganstanley.com		+1 212 761-9231
Katherine A Bennorth	Research Associate	
Katie.A.Bennorth@morganstanley.com		+1 212 761-3753

Tesla Inc (TSLA.O, TSLA US)				
Autos & Shared Mobility United States of America				
Stock Rating	Equal-weight			
Industry View	In-Line			
Price target	\$400.00			
Shr price, close (Jul 22, 2026)	\$374.01			
Mkt cap, curr (mm)	\$1,323,247			
52-Week Range	\$498.83-297.82			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$) **	1.67	1.70	2.07	2.69
Prior EPS (\$) **	-	2.20	2.50	3.11
ModelWare EPS (\$)	1.07	0.71	0.76	1.39

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

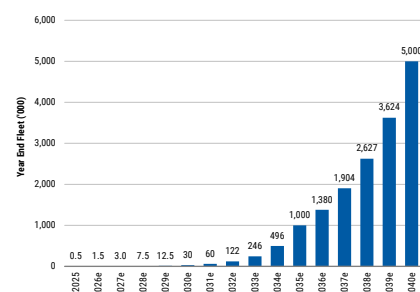
For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

Exhibit 1: SOTP Valuation

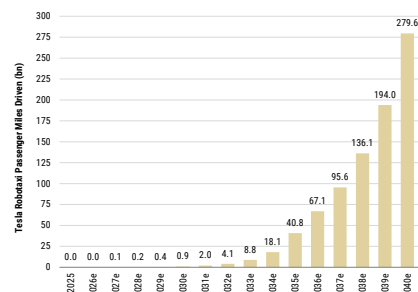
Source: Morgan Stanley Research estimates

What did we learn from the quarter?

- Robotaxi: new unsupervised miles driven disclosure and growth target (DD% w/w growth through YE).** Tesla disclosed a total of 380k cumulative unsupervised robotaxi miles driven to date (in TX/FL), vs. the company's disclosed cumulative 2.5mn paid robotaxi miles driven (across Texas, Florida, and the Bay Area). According to the company, no notable incidents were reported over those unsupervised miles, which is broadly consistent with the [NHTSA data we track monthly](#). Weekly unsupervised miles have grown DD% w/w and are expected to continue at that pace through year-end. Notably, the robotaxi fleet is already operating early versions of v15 FSD software.

Exhibit 2: TSLA Robotaxi Fleet Size ('000)

Source: Morgan Stanley Research estimates

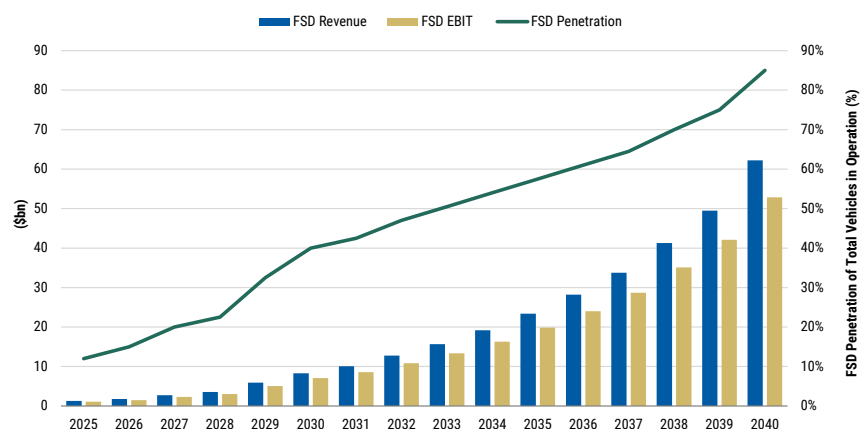
Exhibit 3: TSLA Robotaxi Passenger Miles (bn)

Source: Morgan Stanley Research estimates

- Cybercab: Testing and validating v15 FSD on new chassis.** Cybercab manufacturing targets are now aligned to the projected growth rate of unsupervised miles. Before Cybercabs can be deployed in the fleet, the company needs to accumulate driving data specific to the Cybercab's new vehicle chassis to calibrate the software.
- FSD: 12.6bn miles traveled, 1.5mn active subs, 55% attach rate on NA deliveries in 2Q.** TSLA disclosed a 55% attach rate of FSD on incremental volume in North America, well above our prior assumption of ~25-30%. **This**

is a strong indicator that consumers are buying TSLA vehicles for FSD, which we've long written is a growing competitive moat. This updated disclosure and commentary supports our view that global attach rates will reach 40% by 2030 and 80% by 2040 (still subject to international regulatory approval). No update on unsupervised FSD, though the company discussed unsupervised robotaxi progress on v15, which is supportive of future rollout to passenger vehicles.

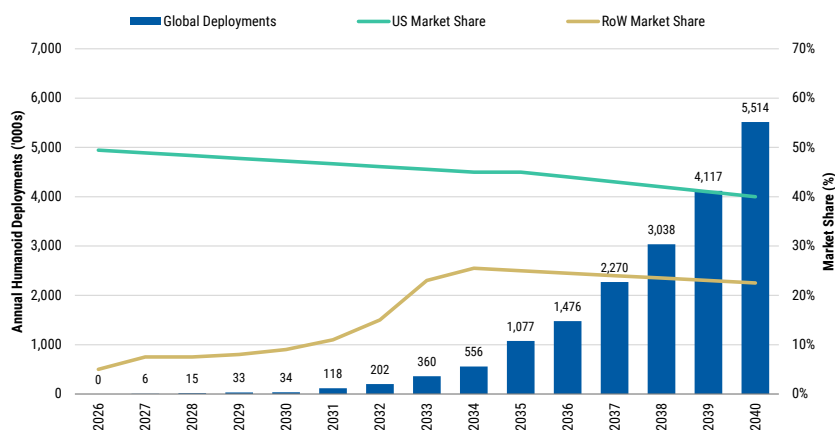
Exhibit 4: FSD Penetration



Source: Morgan Stanley Research estimates

- Optimus: SOP expected to start soon. Complexity of supply chain likely to weigh on pace of initial ramp.** Management provided limited new commentary on production readiness during the call, and Musk again reiterated the challenge of building new supply chains that do not yet exist, designing a sufficiently dexterous robot (*human, and then superhuman dexterity*), and developing the tech that enables a humanoid robot to be able to perform generalized tasks (vs. pre-programmed or remote controlled). While we remain bullish on the Humanoid TAM longer term, we maintain our conservative adoption estimates through the end of the decade (see [Exhibit 5](#)).

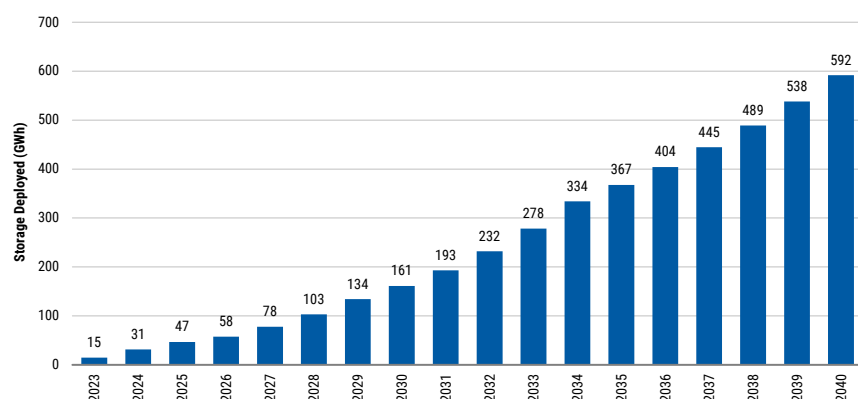
Exhibit 5: Optimus Deployments



Source: Morgan Stanley Research estimates

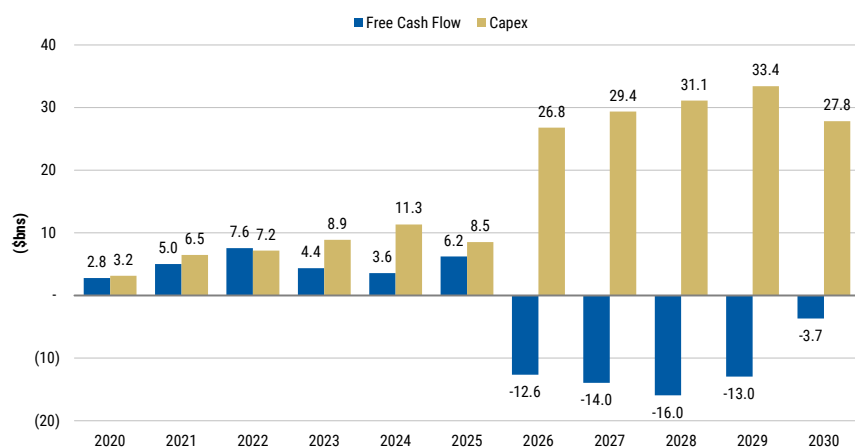
- **TeraFab: details imminent.** Management flagged an upcoming TeraFab event. Recall, TeraFab is a collaboration between Tesla and SpaceX (covered by Adam Jonas). Based on prior commentary, the expectation is that the bulk of the associated capex will sit with SpaceX, though we await a more comprehensive update.
- **Energy.** Normalizing for 1Q tariff benefits (\$200mn) and 2Q warranty charges (\$240mn), Energy gross margin fell ~300 bps q/q to 28% due to lower ASPs amid growing competition. Management expects robust growth to continue due to a healthy backlog and demand tied to the data center buildout and broader electrification. However, long-term gross margins are expected to compress to the low-to-mid 20% range. As such, we have lowered our 2030+ gross margin assumption by 150 bps to 23.5%. The company also reiterated its commitment to establishing fully vertically integrated solar manufacturing in the US (silicon refining through to the panel). Separately, management detailed a “megapod” design, pairing Tesla AI4 and x86 compute in a shippable enclosure that can be placed anywhere power is available — including at Tesla's Supercharger network (~7 GW and growing). **The concept effectively pairs distributed power with distributed inference and could add a further demand vector for Megapack over time.**

Exhibit 6: ESS Deployments



Source: Morgan Stanley Research estimates

- **CapEx.** Management reiterated the 2026 CapEx guide of more than \$25bn and, notably, expects CapEx to increase over the next 2-3 years as Tesla expands the Robotaxi fleet, Optimus capacity, the semiconductor fab, solar manufacturing and AI compute - **a step-up versus our prior assumption of a moderating CapEx profile. Beyond cash generated from operations and cash on hand, management noted it is opportunistically securing debt facilities that would provide capacity to borrow up to \$30bn to accelerate these investments.**

Exhibit 7: Capital Expenditures and FCF

Source: Morgan Stanley Research estimates

How our estimates are changing. We assume lower gross margins in auto and energy carry through the remainder of the year, while continued R&D growth adds further margin pressure. In total, our 2026 adj. EBITDA estimates decline by 7% with these changes. This also carries forward to 2027 where we expect Energy margins to remain under pressure and R&D to continue to grow as Tesla further invests in Optimus, semi manufacturing, etc. As a result, our 2027 adj. EBITDA estimate declines by 12%. The biggest change in our 2027 estimates is capex, where we now assume the company spends nearly \$30bn (vs. \$20bn previously). Our higher capex and lower EBITDA estimates drives a FCF burn of ~\$14bn in 2027 (vs. \$5bn previously).

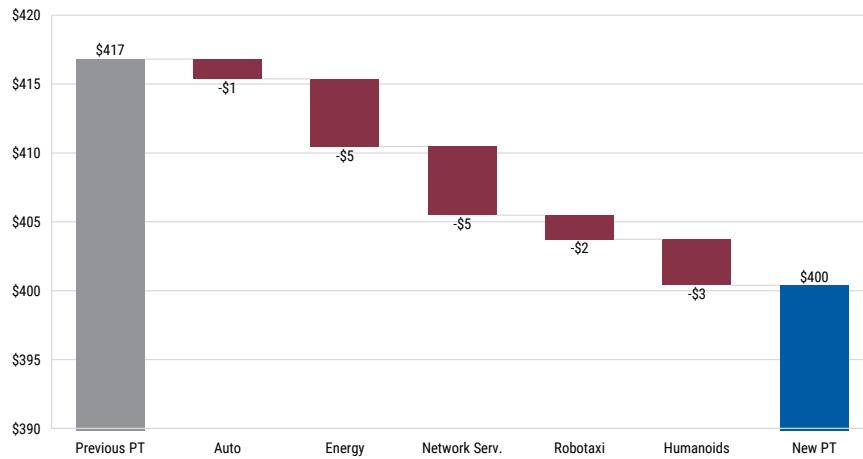
Changes to Valuation

- **Our Base Case PT of \$400.** Our \$400 PT is comprised of 5 DCF-driven components: (1) \$45/share for core Tesla Auto business on ~8.5mm units in 2040, 8.4% exit EBIT margin (ex-FSD), 10.9% WACC, and 10x 2040 exit EBITDA multiple. (2) Network Services at \$144/share, 80% attach rate at \$240/month ARPU by 2040 (3) Tesla Mobility at \$120/share on DCF with ~5mn cars at ~\$1.33/mile by 2040. (4) Energy at \$35/share (16% 15yr rev CAGR and 17% terminal EBIT margin), and (5) Humanoids at \$56/share (50% probability discount).
- **Our Bull Case PT of \$821.** For core auto, we assume TSLA is able to deliver ~12.5mm units by 2040 with ~13.5% EBIT margin (ex-FSD), implying ~\$82/share. TSLA Network Services valued at \$257/share, on 90% attach rate at ~\$250 Monthly ARPU by 2040. We value TSLA Mobility at \$201/share with 8.5mn fleet and 30% EBITDA margin in 2040. For Energy, \$82/share (21% 15yr rev CAGR and 21% terminal EBIT margin). Tesla Humanoids at \$199/share (0% probability discount).
- **Our Bear Case PT of \$130.** Our \$130 bear case ascribes \$24/share for automotive which assumes ~6.0mn units by 2040 at a 3.4% EBIT margin (ex-FSD). Tesla Network Services at \$51/share (60% attach rate at \$200

Monthly ARPU by 2040). Other value is ascribed to Tesla Mobility at \$39/share on a 2mn car fleet and ~40% EBITDA margin by 2040, and Tesla Energy at \$16/share (~15% 15 yr rev CAGR and 13% terminal EBIT margin). Humanoids at \$0/share.

For our Tesla deep-dive, see: [Beyond the Wheel – Mapping Tesla's Journey into Physical AI](#).

Exhibit 8: SOTP Bridge: Changes to PT



Source: Morgan Stanley Research estimates

Exhibit 9: Changes to Estimates

Income Statement (\$MM)	New	2026e Old	Δ	New	2027e Old	Δ
Revenue						
Auto	72,149	72,158	0.0%	78,496	77,732	1.0%
Energy + Services and Other	30,621	30,254	1.2%	40,572	39,854	1.8%
ZEV Credit	1,192	1,430	-16.7%	1,113	1,113	0.0%
Total Revenue	102,770	102,412	0.3%	119,068	117,586	1.3%
COGS						
Auto	58,645	58,066	1.0%	63,847	62,941	1.4%
Energy + Services and Other	24,970	24,516	1.9%	33,740	32,695	3.2%
Gross Profit						
Auto Gross Profit	13,504	14,092	-4.2%	14,650	14,791	-1.0%
% Gross Margin	18.7%	19.5%	-0.8%	18.7%	19.0%	-0.4%
% Gross Margin (ex. ZEV)	17.4%	17.9%	-0.6%	17.5%	17.9%	-0.4%
Energy + Services and Other Gross Profit	5,651	5,738	-1.5%	6,832	7,159	-4.6%
% Gross Margin	18.5%	19.0%	-0.5%	16.8%	18.0%	-1.1%
Total Gross Profit	19,155	19,830	-3.4%	21,481	21,950	-2.1%
% Gross Margin	18.6%	19.4%	-0.7%	18.0%	18.7%	-0.6%
R&D	9,344	7,889	18.4%	10,278	8,442	21.8%
% of Sales	9.1%	7.7%	1.4%	8.6%	7.2%	1.5%
SG&A	7,852	7,750	1.3%	8,335	7,937	5.0%
% of Sales	7.6%	7.6%	0.1%	7.0%	6.8%	0.2%
RX	0	0	0.0%	0	0	0.0%
Operating Income	1,960	4,191	-53.2%	2,869	5,572	-48.5%
% Margin	1.9%	4.1%	-2.2%	2.4%	4.7%	-2.3%
Adjusted EBITDA	15,084	16,181	-6.8%	15,717	17,784	-11.6%
% Margin	14.7%	15.8%	-1.1%	13.2%	15.1%	-1.9%
SBC	4,673	4,292	8.9%	4,653	4,095	13.6%
Interest Expense	(1,304)	(1,248)	4.5%	(826)	(991)	-16.7%
Other expense / (income), net	55	(535)	-110.3%	0	0	NA
Pre-Tax Earnings	3,319	4,904	-32.3%	3,694	6,563	-43.7%
Income Tax	772	1,316	-41.4%	948	1,694	-44.0%
% Tax Rate	23.2%	26.8%	-3.6%	25.7%	25.8%	-0.1%
Net loss contributable to NCI	(52)	(50)	4.0%	(55)	(53)	4.0%
Net Income	2,496	3,538	-29.5%	2,692	4,816	-44.1%
GAAP Diluted EPS	\$0.71	\$1.00	-29.4%	\$0.76	\$1.35	-44.1%
Non-GAAP Diluted EPS	\$1.70	\$2.20	-22.7%	\$2.07	\$2.50	-17.5%
Diluted Common Shares Outstanding	3,531	3,532	0.0%	3,556	3,558	-0.1%
Free Cash Flow	(12,427)	(11,432)	NA	(13,958)	(5,244)	NA
Capital Expenditures	26,805	26,777	0.1%	29,378	19,350	51.8%

Source: Morgan Stanley Research estimates

Exhibit 10: 2026 Forecast – MSe vs. Consensus

	2026		
	MSe	Cons	% Diff
Auto Deliveries	1,670,463	1,692,927	-1.3%
Model 3/Y	1,628,960	1,616,171	0.8%
Other	41,502	76,756	-45.9%
Revenue	102,770	104,299	-1.5%
Auto Gross Profit	13,504	13,630	-0.9%
% Margin (excl. Credits)	17.4%	17.8%	
% Margin (incl. Credits)	18.7%	19.0%	
Energy Gross Profit	4,015	5,017	-20.0%
% Margin	27.2%	31.2%	
Services & Other Gross Profit	1,636	1,494	9.5%
% Margin	10.3%	9.4%	
Total Gross Profit	19,155	20,141	-4.9%
% Margin	18.6%	19.3%	
Adj. EBITDA	15,084	15,524	-2.8%
% Margin	14.7%	14.9%	
EPS	\$1.70	\$1.98	-14.0%
FCF	(12,427)	(9,616)	29.2%

Source: Morgan Stanley Research estimates, FactSet, Visible Alpha

Exhibit 11: 2Q26 Earnings Variance

Tesla Income Statement (\$MM)	2Q26	Cons	MSe	% Difference vs. Cons vs. MSe	
Revenue					
Auto (inc credits)	20,516	19,078	21,010	7.5%	(2.4%)
Reg Credit	146	307	384		
Energy	3,139	3,826	3,599	(18.0%)	(12.8%)
Services and Other	4,581	3,752	3,755	22.1%	22.0%
Total Revenue	28,236	26,714	28,363	5.7%	(0.4%)
COGS					
Auto	17,053	15,369	16,883		
Energy	2,499	2,684	2,591		
Services and Other	3,933	3,435	3,434		
Gross Profit					
Auto	3,463	3,709	4,127	(6.6%)	(16.1%)
% Gross Margin (inc Credits)	16.9%	19.4%	19.6%		
% Gross Margin (exc. Credits)	16.3%	18.0%	18.1%		
Energy	640	1,142	1,008	(44.0%)	(36.5%)
% Gross Margin	20.4%	30.1%	28.0%		
Services and Other	648	317	321	104.4%	101.9%
% Gross Margin	14.1%	8.2%	8.5%		
Total Gross Profit	4,751	5,160	5,455	(7.9%)	(12.9%)
% Gross Margin	16.8%	19.3%	19.2%		
R&D	2,371	1,957	2,026	21.2%	17.0%
% of Sales	8.4%	7.3%	7.1%		
SG&A	1,982	1,802	1,985	10.0%	(0.2%)
% of Sales	7.0%	6.7%	7.0%		
Restructuring + Other Expenses	0	8	-		
Operating Income	398	1,393	1,444	(71.4%)	(72.4%)
% Margin	1.4%	5.2%	5.1%		
SBC	989	719	1,103	37.5%	(10.3%)
Net Interest Expense	(341)	(321)	(342)	6.3%	(0.3%)
Other (income) / expense, net	(590)	52	0		
Pre-Tax Earnings	1,329	1,661	1,786	(20.0%)	(25.6%)
Income Tax	201	392	452	(48.7%)	(55.5%)
% Tax Rate	15.1%	23.6%	25.3%		
Net (income) / loss attributable to NCI	14	16	12		
GAAP Net Income	1,114	1,229	1,322	(9.4%)	(15.7%)
Adj Net Income	2,103	1,949	2,425	7.9%	(13.3%)
GAAP EPS Diluted	\$0.32	\$0.35	\$0.37	(8.6%)	(14.6%)
Diluted Common Shares Outstanding	3,540	3,576	3,528		0.3%
Non-GAAP Dil. EPS	\$0.33	\$0.55	\$0.69	(40.0%)	(52.0%)
FCF	(1,092)	(2,626)	(2,966)	NA	NA
Capital Expenditures	5,789	6,784	6,000	(14.7%)	(3.5%)
Cash, Cash Equivalents and Marketable Securities	43,524	41,543	41,777	4.8%	4.2%
Adj EBITDA	3,273	4,061	4,600	(19.4%)	(28.8%)
Adj EBITDA Margin	11.6%	15.2%	16.2%	(23.7%)	(28.5%)

Source: Morgan Stanley Research estimates, Tesla, FactSet, Visible Alpha

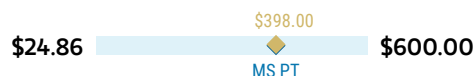
Risk Reward – Tesla Inc (TSLA.O)

AI Optionality Offset by Near-Term Auto Headwinds, Full Valuation

PRICE TARGET \$400.00

Our PT of \$400 is comprised of 5 components: (1) \$45/share for core Tesla Auto business on ~8.5mm units in 2040, 8.4% exit EBIT margin (ex-FSD), 10.9% WACC, and 10x 2040 exit EBITDA multiple. (2) Network Services at \$144/share, 80% attach rate at \$240/month ARPU by 2040 (3) Tesla Mobility at \$120/share on DCF with ~5mn cars at ~\$1.33/mile by 2040. (4) Energy at \$35/share, and (5) Humanoids at \$56/share (50% probability discount).

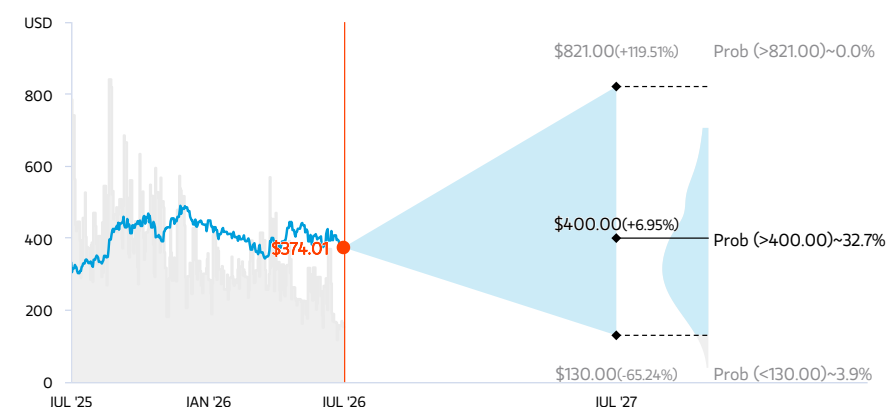
Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



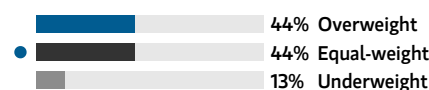
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 22 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- **Leader in Physical AI.** Tesla under Elon Musk's leadership is poised to be a market leader across autonomous mobility, renewable energy, and robotics.
- **Network Services the Crown Jewel.** We believe TSLA can leverage its EV cost leadership to expand user base and generate a higher % of revenue from recurring/high-margin software & services.
- **AI optionality offset by cautious EV outlook and balanced Risk Reward skew near-term.** We include Autos, Network Services, Energy, Mobility, and Optimus in our \$400 PT, with Bear Case \$130, Bull Case \$821.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: Positive
Secular Growth: Positive
Electric Vehicles: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$821.00

~78x 2030e EV/EBITDA

For core auto, we assume TSLA is able to deliver ~12.5mm units by 2040 with ~13.5% EBIT margin (ex-FSD), implying ~\$82/share. Tesla Network Services valued at \$257/share, on 90% attach rate at ~\$250 Monthly ARPU by 2040. We value TSLA Mobility at \$201/share with 8.5mn fleet and 30% EBITDA margin in 2040. For Energy, \$82/share (21% 15yr rev CAGR and 21% terminal EBIT margin). Tesla Humanoids at \$199/share (0% probability discount).

BASE CASE

\$400.00

~53x 2030e EV/EBITDA

Our PT of \$400 is comprised of 5 components: (1) \$45/share for core Tesla Auto business on ~8.5mm units in 2040, 8.4% exit EBIT margin (ex-FSD), 10.9% WACC, and 10x 2040 exit EBITDA multiple. (2) Network Services at \$144/share, 80% attach rate at \$240/month ARPU by 2040 (3) Tesla Mobility at \$120/share on DCF with ~5mn cars at ~\$1.33/mile by 2040. (4) Energy at \$35/share (16% 15yr rev CAGR and 17% terminal EBIT margin), and (5) Humanoids at \$56/share (50% probability discount).

BEAR CASE

\$130.00

~28x 2030e EV/EBITDA

Our \$130 bear case ascribes \$24/share for automotive which assumes ~6.0mn units by 2040 at a 3.4% EBIT margin (ex-FSD). Tesla Network Services at \$51/share (60% attach rate at \$200 Monthly ARPU by 2040). Other value is ascribed to Tesla Mobility at \$39/share on a 2mn car fleet and ~40% EBITDA margin by 2040, and Tesla Energy at \$16/share (~15% 15 yr rev CAGR and 13% terminal EBIT margin). Humanoids at \$0/share.

Risk Reward – Tesla Inc (TSLA.O)

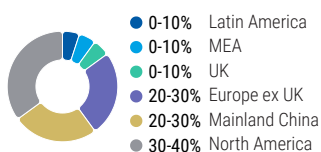
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Deliveries (000s)	1,636	1,670	1,855	2,138
Total Revenue (\$, mm)	94,827	102,770	119,068	143,422
Auto Gross Margin (%)	17.8	18.7	18.7	18.6
Free Cash Flow (\$, mm)	6,220	(12,427)	(13,958)	(15,952)
Net Debt (Cash) (\$, mm)	(35,683)	(21,403)	(7,408)	8,581

INVESTMENT DRIVERS

- Robotaxi city launches
- Advancements in FSD
- New Model announcements
- Emerging Competition (from traditional OEMs, startups, & large tech firms)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increased FSD attach rate / unsupervised FSD
- Cost milestones on new battery
- New model intro (Roadster, multivan)
- Robotaxi rollout
- Optimus announcement

RISKS TO DOWNSIDE

- Competition: legacy OEMs/Chinese players/big tech in Autos and Robotics
- Execution risk across robotaxi/FSD/humanoid
- Regulatory
- China risk
- Dilution
- Valuation

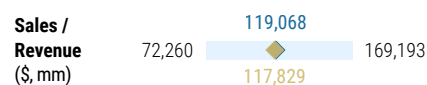
OWNERSHIP POSITIONING

Inst. Owners, % Active	43.3%				
HF Sector Long/Short Ratio	1.7x				
HF Sector Net Exposure	11.1%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Daniela M Haigian; Andrew S Percoco.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

The analyst or strategist (or a household member) identified below owns the following securities (or related derivatives): Jahvonte G Bain - **Tesla Inc** (common or preferred stock).

As of June 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Adient PLC, Aptiv PLC, Asbury Automotive Group Inc, AutoNation Inc., Avis Budget Group Inc, BorgWarner Inc., Carmax Inc, Carvana Co, Dauch Corporation, Ford Motor Company, General Motors Company, Goodyear Tire & Rubber Company, Group 1 Automotive, Inc, Hertz Global Holdings Inc, Lear Corporation, Lithia Motors Inc., Magna International Inc., Mobileye Global Inc, Penske Automotive Group, Inc, Quantumscape Corp, Rivian Automotive, Inc., Sonic Automotive Inc, **Tesla Inc**, Versigent Plc, Visteon Corporation.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Avis Budget Group Inc, Ford Motor Company, General Motors Company, Hertz Global Holdings Inc, Rivian Automotive, Inc..

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Avis Budget Group Inc, Ford Motor Company, General Motors Company, Hertz Global Holdings Inc, Rivian Automotive, Inc..

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Aptiv Plc, AutoNation Inc., Avis Budget Group Inc, BorgWarner Inc., Ford Motor Company, General Motors Company, Group 1 Automotive, Inc, Hertz Global Holdings Inc, Lear Corporation, Magna International Inc., Mobileye Global Inc, Penske Automotive Group, Inc, Quantumscape Corp, Rivian Automotive, Inc., Sonic Automotive Inc, **Tesla Inc**, Visteon Corporation.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Aptiv Plc, Avis Budget Group Inc, BorgWarner Inc., Dauch Corporation, Ford Motor Company, General Motors Company, Goodyear Tire & Rubber Company, Hertz Global Holdings Inc, Lear Corporation, Penske Automotive Group, Inc, Rivian Automotive, Inc., **Tesla Inc**, Visteon Corporation.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Aptiv Plc, AutoNation Inc., Avis Budget Group Inc, BorgWarner Inc., Ford Motor Company, General Motors Company, Group 1 Automotive, Inc, Hertz Global Holdings Inc, Lear Corporation, Magna International Inc., Mobileye Global Inc, Penske Automotive Group, Inc, Quantumscape Corp, Rivian Automotive, Inc., Sonic Automotive Inc, **Tesla Inc**, Visteon Corporation.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Aptiv Plc, Avis Budget Group Inc, BorgWarner Inc., Dauch Corporation, Ford Motor Company, General Motors Company, Goodyear Tire & Rubber Company, Hertz Global Holdings Inc, Lear Corporation, Penske Automotive Group, Inc, Rivian Automotive, Inc., **Tesla Inc**, Visteon Corporation.

An employee, director or consultant of Morgan Stanley is a director of General Motors Company. This person is not a research analyst or a member of a research analyst's household.

Morgan Stanley & Co. LLC makes a market in the securities of Adient PLC, Asbury Automotive Group Inc, AutoNation Inc., Dauch Corporation, Group 1 Automotive, Inc, Lear Corporation, Penske Automotive Group, Inc, Sonic Automotive Inc, Visteon Corporation.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Tesla Inc (TSLA.O) - As of 07/23/26 GMT in USD
Industry : Autos & Shared Mobility



Stock Rating History: 7/1/21 : O/I; 6/22/23 : E/I; 9/10/23 : O/I; 3/13/24 : O/A; 9/25/24 : O/I; 12/7/25 : E/I

Price Target History: 4/22/21 : 300; 10/24/21 : 400; 1/10/22 : 433.33; 6/22/22 : 400; 7/14/22 : 383.33; 8/25/22 : 383;

10/10/22 : 350; 10/24/22 : 330; 12/28/22 : 250; 1/25/23 : 220; 4/20/23 : 200; 6/22/23 : 250; 9/10/23 : 400; 10/19/23 : 380;

1/22/24 : 345; 3/5/24 : 320; 4/4/24 : 310; 12/10/24 : 400; 1/13/25 : 430; 3/20/25 : 410; 12/7/25 : 425; 1/29/26 : 415; 7/13/26 : 417

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Ford Motor Company. This person is not a research analyst or a member of research analyst's household.

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital

Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/22/2026)
Andrew S Percoco		
Adient PLC (ADNT.N)	E (12/07/2025)	\$20.65
Aptiv Plc (APTV.N)	O (05/07/2026)	\$58.22
Avis Budget Group Inc (CAR.O)	E (12/07/2025)	\$164.36
BorgWarner Inc. (BWA.N)	E (12/07/2025)	\$64.25
Dauch Corporation (DCH.N)	E (12/07/2025)	\$5.70
Ford Motor Company (F.N)	E (09/25/2024)	\$14.42
General Motors Company (GM.N)	O (12/07/2025)	\$82.13
Hertz Global Holdings Inc (HTZ.O)	E (02/08/2024)	\$1.93
Lear Corporation (LEA.N)	E (12/07/2025)	\$143.69
Lucid Group Inc (LCID.O)	U (12/07/2025)	\$6.78
Magna International Inc. (MGA.N)	E (09/25/2024)	\$67.58
Mobileye Global Inc (MBLY.O)	E (08/02/2024)	\$8.78
Quantumscape Corp (QS.O)	E (12/07/2025)	\$5.87
Rivian Automotive, Inc. (RIVN.O)	U (12/07/2025)	\$17.18
Tesla Inc (TSLA.O)	E (12/07/2025)	\$374.01
Versigent Plc (VGNT.N)	O (05/07/2026)	\$41.16
Visteon Corporation (VC.O)	E (06/01/2022)	\$103.16
Daniela M Haigian		
Asbury Automotive Group Inc (ABG.N)	E (09/25/2024)	\$223.36
AutoNation Inc. (AN.N)	O (09/25/2024)	\$205.97
Carmax Inc (KMX.N)	E (11/10/2025)	\$57.45
Carvana Co (CVNA.N)	O (08/07/2025)	\$62.75
Group 1 Automotive, Inc (GPI.N)	O (09/25/2024)	\$327.93
Lithia Motors Inc. (LAD.N)	E (09/25/2024)	\$339.95
Penske Automotive Group, Inc (PAG.N)	O (09/25/2024)	\$214.57
Sonic Automotive Inc (SAH.N)	E (09/25/2024)	\$100.88
Javier Martinez de Olcoz Cerdan		
Goodyear Tire & Rubber Company (GT.O)	U (09/28/2025)	\$7.45

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

© 2026 Morgan Stanley